"It's nothing fancy," Derman explained. "Just a basic moving average crossover system. Buy when the short-term average crosses above the long-term average, sell when it crosses below."
Taleb, known for his skepticism of overly complex models, smiled. "And how has it performed compared to your team's more sophisticated strategies?"

"That's the surprising part," Derman replied. "This simple strategy has outperformed most of our complex models over the past year, with far less operational risk. Sometimes, simplicity wins."
This conversation highlights an important truth in algorithmic trading: complexity does not always equal profitability. Some of the most robust and enduring trading strategies are built on simple, understandable principles. As legendary investor Warren Buffett often says, "You shouldn't own a stock for 10 minutes that you wouldn't own for 10 years"—a philosophy that applies equally well to trading strategies.

In this chapter, we're making the exciting transition from learning about tools and concepts to building an actual trading system. We'll develop a simple but complete moving average crossover strategy, learn how to backtest it properly, and evaluate its performance using professional metrics. By the end of this chapter, you'll have created your first algorithmic trading strategy—a significant milestone on your journey.

Let's get started with a strategy that has stood the test of time, yet remains simple enough for a beginner to implement and understand.

A Simple Moving Average Crossover Strategy